banking. Inadequate reserves, a precariously low percentage of cash to liabilities, and an imposing capital (with very little of it paid-up) were a recipe for disaster.[4] And it was not long in coming.

The year 1913 saw the worst ever banking crisis in India, starting before the First World War and accentuated by it. It was much worse than the earlier crises of 1829–32 and 1863–66 and ninety-four banks failed. The crisis of 1913–14 was triggered off by a run on the People's Bank of India, Lahore, of which Lala Harkishen Lal, a merchant and barrister, was for long its Managing Director. The Liquidator's Report showed that nearly 70 percent of the loans had been advanced to companies or other concerns in which the Directors of the bank had an interest. A large percentage of loans had been made without sufficient security with the principal beneficiary being none other than Lala Harkishen himself who was closely associated with some of the firms. Within nine days of the failure of the People's Bank, the Amritsar Bank, in which the Lala was also interested, closed its doors.[5]

The Punjab was the worst hit with thirty-five failures accounting for a total paid-up capital of ₹36.74 lakhs.[6] Within four years as much as 34 percent of the total paid-up capital of Indian joint stock banks was lost.[7] Bank failures reported in India did not have the same significance as in other countries with stricter banking or company laws. Till the amendment of the Indian Company Law in 1936, no attempt was made to define the word bank or to ensure that only respectable concerns used that description in their title. As a consequence many doubtful ventures registered themselves as banks and when they failed, served to inflate the number of so-called bank failures. The government did nothing to either regulate the banks or to create an institution which might act as a lender of the last resort.

The financial crisis which had spread in Punjab rapidly spread to Bombay. It was further aggravated by the collapse of the Credit Bank of India in October 1913. The Bombay Banking Company, the Crown Bank of India, and the Kathiawar and Ahmedabad Banking Corporation followed soon after. The *Jam-e-Jamshed*, a Bombay daily, ascribed the collapse of the Credit Bank and other banks to the 'cliques which are running the banks making them the tools of their own gambling adventures.' By the end of